

Aon Reed Stenhouse Inc., 600 - 3rd Ave SW, Calgary, AB T2P 0G5

Declarations

In consideration of the premium stated, the Insurer(s) named in the List of Subscribing Companies forming part hereof, hereinafter called the Insurer(s), do hereby severally and not jointly agree, each for the sum insured (or percentage of the total sum insured under this Policy) set against its name in the List of Subscribing Companies, to indemnify the Insured in accordance with the terms and conditions of this Policy and attached forms and endorsements. Insurance is provided for only those coverages for which forms and endorsements are attached, and specific amounts of insurance are stated.

Insured and Policy Information	
Named Insured	City of Kamloops
Policy No.	A2800288
Mailing Address	7 Victoria Street West Kamloops, BC V2C 1A2
Other Insureds	Owners, contractors, sub-contractors, project and construction managers, architects, engineers and consultants whilst engaged in the project insured hereunder.
Period of Insurance	December 18, 2025 to August 7, 2029 both days at 12:01 a.m. Standard Time at the address of the Named Insured as stated herein
Loss Payee	Loss hereunder, if any, is payable to the Insured or the Insured's Order. In the event any of the loss payees are registered Mortgagees, the provisions of the standard mortgage clause apply.
Risk Insured	This Policy insures all operations of the Insured in connection with the construction of the Kamloops Centre for the Arts (KCA) Project (as more fully described in these declarations).
Adjustment Rate	The final earned premium shall be computed as per the Premium Adjustment provisions of the policy as more fully described herein based on the following annual rates, pro-rated for the Period of Insurance: Property: \$0.0996 /100 of Final Completed Value Equipment Breakdown: Not Applicable /100 of Final Completed Value
Deposit Premium	\$726,749.00
Minimum Retained Premium	25% of Deposit Premium

THE POLICY CONTAINS A CLAUSE(S) THAT MAY LIMIT THE AMOUNT PAYABLE

Important Information for Insureds

PLEASE READ ALL DOCUMENTS

This Policy is issued and accepted subject to the following provisions, stipulations and conditions which form part of this Policy, together with other provisions, agreements, or conditions which may be endorsed or added.

Issued at Calgary, AB

Dated: January 8, 2026

The Insured is requested to read this policy, and if incorrect, return it immediately for alteration. In the event of an occurrence likely to result in a claim under this Insurance, immediate notice should be given to the office designated above.

INSURER

List of Subscribing Companies:	INTEREST	PREMIUM	SIGNATURE
Northbridge General Insurance Corporation	65%	\$472,387	 _____
Intact Insurance Company of Canada	35%	\$254,362	_____
TOTAL	100%	\$726,749	

To Report a Claim, Contact:

PLEASE REPORT AS SOON AS PRACTICABLE, EVERY INCIDENT, LOSS, OR DAMAGE (LOSS NOTICES) WHICH MAY BECOME A CLAIM TO:

YOUR AON ACCOUNT EXECUTIVE EITHER BY PHONE OR EMAIL

AND

EMAIL: WESTERNCLAIMS@NBFC.COM

BUILDERS RISK

INSURED PROJECT:

Name: Kamloops Centre for the Arts (KCA) Project

Description: The KCA Project will be an approximately 21,260 m² facility that will include a large (1,000 seat) theatre, a small (350 seat) theatre, a two-storey lobby space, rehearsal spaces, theatre shop space, and art gallery storage. The KCA Project will be a hybrid structure incorporating Concrete, Steel, and Mass Timber elements. The approximate breakdown is 55.9% Steel, 41.7% Concrete, and 2.4% Mass Timber. The Framework will be Concrete Shear Wall below-grade and Structural Steel above-grade; Steel Joists for the Roof with SBS Roofing (Torch-on applied). Concrete Slab & Suspended Concrete Slab Flooring. The KCA Project will connect to Kelson Hall through a 2nd floor breezeway & accommodating elevator. The Mass Timber elements will be intended as aesthetic (non-structural), used primarily as ceiling beams veneer (in conjunction with steel beams) and vertical column supports veneer (in conjunction with steel columns).

Location: 393 Seymour Street, Kamloops, BC V2C 6P6

Scheduled Completion Date: August 7, 2029

Estimated Construction Value: \$201,287,576

Other Property: Included in the above is \$3,000,000 for By-Laws – Demolition and Increase Cost of Construction costs, as well as \$1,000,000 for owner-supplied equipment

Total Construction Value: \$201,287,576

TERRITORIAL LIMITS: Canada and the Continental United States except – Insured Property while in the course of transit - Worldwide

LIMITS OF LIABILITY – CAD \$201,287,576

Section I – Property	\$189,682,332
Section II – Soft Costs	\$11,605,244
Section IV – Business Interruption	
Gross Revenue	Not Covered
Gross Rents	Not Covered
Indemnity Period	Not Applicable
Section V – Equipment Breakdown	\$201,287,576

PLEASE REFER TO THE POLICY WORDING FOR COMPLETE DETAILS OF THE COVERAGE.
THESE DECLARATIONS ARE SUBJECT TO TERMS AND CONDITIONS OF THE POLICY.

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Loss or damage directly caused by, resulting from, contributed to or aggravated by the peril of "Earthquake" - Each Occurrence and in the aggregate for the Period of Insurance	\$201,287,576
Loss or damage directly caused by, resulting from, contributed to or aggravated by the peril of "Flood" - Each Occurrence and in the aggregate for the Period of Insurance	\$201,287,576
Escalation Clause	115% applicable to Sections I, II, IV, and V
Catch-all Provision – applicable to all Sections	\$250,000
<u>Except as sub-limited below: These sub-limits do not increase the Limit(s) of Liability and are part of and not in addition to such limits of liability</u>	
Blanket Amount for Sub-Limits - Each Occurrence and in the aggregate for the Period of Insurance for any limit shown as "Included" below:	As Shown Below
Section I – Property	
Property While in Transit - Each Occurrence	\$10,000,000
Property While Off Premises - Each Occurrence	\$10,000,000
Fire Fighting Expenses - Each Occurrence	\$5,000,000
Debris Removal - Each Occurrence	\$10,000,000
Land and Water Pollution Clean-up Expenses - Each Occurrence and in the aggregate for the Period of Insurance	\$2,000,000
Expediting Expenses/Extra Expense - Each Occurrence	\$10,000,000
Green Project Expense - Each Occurrence	\$1,000,000
Immediate Repairs - Each Occurrence	\$2,000,000
Valuable Papers - Each Occurrence	\$5,000,000
Section III General Conditions (applicable to all sections)	
Professional Fees - Each Occurrence	\$5,000,000
Mould & Fungi Coverage - Each Occurrence and in the aggregate for the Period of Insurance	\$500,000
Section V – Equipment Breakdown	
Water Damage - Each Accident	\$2,000,000
Ammonia Contamination - Each Accident	\$2,000,000
Hazardous Materials Contamination - Each Accident	\$2,000,000
DEDUCTIBLES	
Section I – Property – Each Occurrence except:	\$50,000 each occurrence except as noted below

Earthquake – Each Occurrence	5% of total insured values at risk at time of loss or damage, subject to a minimum of \$250,000
Flood – Each Occurrence	\$100,000
Water Damage – Each Occurrence	\$100,000
Sewer Backup – Each Occurrence	\$100,000
Foundation Work– Each Occurrence	\$100,000
Testing (90 days)– Each Occurrence	Same as AOP
Section II – Soft Costs- Each Occurrence	14 Days
Section IV – Business Interruption - Each Occurrence	Not Applicable
Section V – Equipment Breakdown - Each Accident	Same as AOP

POLICY SECTIONS/FORMS ATTACHED

Section I – Property

Section II – Soft Costs

Section III – General Conditions, Statutory Conditions, Mortgage Clause

Section V – Equipment Breakdown

Section VI – Warranty Forms

HOT WORK OPERATIONS WARRANTY (11/01/2008 Rev. 06, 2012)

OPEN FLAME HEATING WARRANTY (06/21/2007)

REFUSE, WASTE AND DEBRIS WARRANTY (11/01/2008)

FENCE WARRANTY (11/01/2008 Rev. 06, 2012)

WATCHMAN WARRANTY (5/31/2018) – Version B (CCTV)

Endorsements

- **TRADE OR ECONOMIC SANCTIONS ENDORSEMENT**
 - **COMMUNICABLE DISEASE EXCLUSION ENDORSEMENT**
 - **TERRORISM EXCLUSION ENDORSEMENT**
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SECTION I - PROPERTY

1. INSURING AGREEMENT:

This Policy, except as provided herein, insures against all risks of direct physical loss or damage to Insured Property during the Period of Insurance while such Insured Property is:

- (a) at the construction site,
- (b) stored off-site, or
- (c) in the course of transit

within the Territorial Limits specified in the Declarations.

2. INSURED PROPERTY:

Property of every kind and description, including materials and supplies, and property of others:

- (a) at the construction site awaiting or in course of construction, installation, erection, testing, demolition, reconstruction, fabrication or repair while at the risk of the Insured;
- (b) used or to be used in, that is part of or will form part of, or that is incidental to the construction operations;
- (c) for which, prior to any occurrence for which a claim may be made hereunder, the Insured has assumed liability;

provided the value of such property is included in the Limits of Liability as stated in the Declarations.

3. DEDUCTIBLE:

From the amount of each claim for loss or damage arising out of an occurrence, when finally determined, there shall be deducted the applicable sum as cited in the Declarations.

All claims arising out of a single occurrence shall be deemed to be one claim, and from the total amount of each such claim, if the Insured shall so elect, only one deductible amount, being the single largest deductible amount, shall be deducted.

4. PROPERTY EXCLUDED:

This Policy does not insure:

- (a) loss of or damage to property while aboard any aircraft or watercraft or while insured under an Ocean Cargo Policy, except on a regular ferry or railway car transfer in connection with land transportation;
- (b) contractors tools and equipment or property of similar nature not destined to become a permanent part of the Insured Project but this exclusion shall not apply to formwork, fences, shoring, false work, scaffolding, wood and metal forms, tarpaulins, or items for which the insured is responsible under contract or agreement and temporary buildings as long as the value of these items are included in the Estimated Total Project Value as stated in the Declarations;
- (c) automobiles, trailers or other vehicles, except on worksite;
- (d) land, but this exclusion shall not apply to excavation and grading as long as the value of the excavation and grading is included in the Estimated Total Project Value as stated in the Declarations;
- (e) existing buildings or structures or any other existing property, unless separately declared to the Insurer in advance and specifically endorsed on to the policy;

- (f) property to the extent it is more specifically insured elsewhere;
- (g) property illegally acquired, kept, stored or transported; property subject to forfeiture, seized or confiscated for breach of any law or by order of any public authority;
- (h) aircraft, watercraft.

5. PERILS EXCLUDED:

This Policy does not insure:

- (a) loss of use or occupancy or consequential loss of any nature howsoever caused;
- (b) liquidated damages and/or penalties and/or increased costs caused by or resulting from non-completion of or delay in completion of contract or non-compliance with contract conditions;
- (c) theft, misappropriation or embezzlement by the Insured or their employees;
- (d) mysterious disappearance of property or inventory shortage;
- (e) loss or damage caused directly or indirectly by cessation of work or by interruption of construction, unless directly caused by a peril otherwise insured and not otherwise excluded under this Policy;
- (f) any nuclear incident (as defined in the Nuclear Liability Act where applicable), nuclear explosion, nuclear radiation or contamination by radioactive material;
- (g) loss or damage caused by, or resulting from, wear and tear, moth, vermin, termites or other insects, inherent vice, latent defect, gradual deterioration, wet or dry rot, erosion or normal settling, shrinkage, expansion of buildings and/or foundations unless physical damage not otherwise excluded by this policy results, in which event this policy shall insure such resulting damage;
- (h) loss or damage caused directly or indirectly by rust or corrosion, frost or freezing unless physical damage not otherwise excluded by this policy results, in which event this policy shall insure such resulting damage;
- (i) This Policy excludes loss of or damage to and the cost necessary to replace, repair or rectify
 - a. Any component part or individual item of the Property Insured which is defective in design plan specification materials or workmanship.
 - b. Property Insured lost or damage to enable the replacement repair or rectification of Property Insured excluded by (a) above.

Exclusion (a) above shall not apply to other parts or items of Property Insured which are free from defect but are damaged in consequence thereof.

For the purpose of the Policy and not merely this Exclusion the Property Insured shall not be regarded as lost or damaged solely by virtue of the existence of any defect in design plan specification materials or workmanship in the Property Insured or any part thereof.

- (j) loss or damage caused directly or indirectly by mechanical or electrical breakdown or derangement unless physical damage not otherwise excluded by this policy results, in which event this policy shall insure such resulting damage.

6. EXTENSIONS:

This Policy also insures:

- (a) Fire Fighting Expenses

The Insurer(s) will indemnify the Insured for expenses directly incurred by them or on their behalf, for fighting fire on the construction site or an adjacent site in order to protect the Insured Property.

(b) Debris Removal

The Insurer(s) will indemnify the Insured for expenses incurred in:

- i) the removal of debris of the property insured herein if occasioned by loss or damage to such property from any peril(s) insured by this Policy;
- ii) the cost of cleanup at the premises of the Insured, made necessary as a result of direct physical loss of or damage to insured property from any peril(s) insured by this Policy;

The Insurer(s) shall not be liable for expenses or costs to extract pollutants or contaminants from land or water, or to remove, restore or replace contaminated or polluted land or water, except as stipulated in Section I, Item 6. (c).

The Insurer(s) will indemnify the Insured for expenses incurred in the removal of debris or other property which is not insured by this Policy but which has been blown by windstorm upon a location Insured hereunder.

Debris removal expense shall be reported to the Insurer(s) no more than one hundred and eighty (180) days after the date of the direct loss or the expiration of the Policy.

Debris removal shall include but not be limited to dismantling, demolition, removal of ice and de-watering.

(c) Land and Water Pollution Clean-Up Expenses:

The Insurer(s) will indemnify the Insured for expenses incurred to cleanup pollutants from land or water at the construction site provided the spill, discharge, emission, dispersal, seepage, leakage, release, mitigation or escape of pollutants:

- i) is occasioned by loss or damage to Insured Property at the premises for which insurance is afforded under this Policy;
- ii) is sudden, unexpected and unintended from the standpoint of the Insured; and
- iii) first occurs during the Period of Insurance and is reported to underwriters within 180 days of occurrence.

(d) Expediting Expenses /Extra Expense

The Insurer(s) will indemnify the Insured for expenses directly incurred by them or on their behalf in connection with expediting the repair or replacement of Insured Property damaged by an insured peril, including but not limited to:

- i) express or chartered carriage or delivery (including by sea or air) or other rapid means of transportation;
- ii) chartered and/or other travel (including by sea or air) of the Insured's directors, officers, employees, agents, contractors, sub-contractors, consultants or representatives;
- iii) overtime or penalty rates of wages and other related allowances and payments;
- iv) hire of additional labour, plant, equipment, materials, expertise or services;
- v) accommodation and boarding costs (including meals and other costs associated therewith);
- vi) additional administrative and/or overhead expenses;
- vii) the extra cost in order to continue as nearly as practicable the completion of the Project insured herein including that which would have been indemnified but for the application of the Deductible.

(e) Green Project Expenses

The Insurer(s) will indemnify the Insured for the following costs and expenses (as defined below) incurred by the Insured:

i) Recycling expenses

Recycling expenses are the additional costs incurred by the Insured for removal and disposal or reuse of damaged property for the purpose of recycling after an insured loss. However, income earned from sale of recycled materials shall reduce total amount payable.

ii) Cost of LEED recertification and re-registration

Any additional costs incurred to recertify or re-register, as is applicable, any building(s) which had been or was in the process of being registered for LEED Canada ("LEED") certification by Canada Green Building Council ("CGBC"), following an insured loss. Provided, however, that such additional costs shall not include any amounts incurred to recertify or re-register the building(s) to a higher level of certification with LEED than that initially applied for, or costs incurred to appeal any final ruling on denied prerequisites or credits by the CGBC.

iii) Public utility expense

Necessary additional costs incurred to purchase supplementary power and/or water from a public utility until planned energy system and/or water system is fully operational after being damaged or destroyed by an insured loss.

iv) Air quality restoration

Additional costs incurred to restore air quality for LEED compliance, including but not limited to flushing of inside air and or replacement air filters, required as a result of an insured loss.

LEED (Leadership in Energy and Environmental Design) where shown herein refers to a third party certification for green building construction & is administered by the Canada Green Building Council.

(f) Immediate Repairs

The Insurer(s) hereby grant(s) permission to the Insured to carry out repairs in respect of any damage to Insured Property which can conveniently and advantageously be undertaken by them.

The Insurer(s) will reimburse the Insured for the actual cost of such repairs, including reasonable profit and overhead costs and all other charges.

(g) Valuable Papers, Records and Models

The term "valuable papers, records or models" includes construction models, electronic models and written, printed or otherwise inscribed documents and records, including but not limited to books, maps, films, electronic records, drawings, tapes, abstracts, deeds, mortgages and manuscripts, excluding money or securities.

In case of loss, destruction, or damage to valuable papers, records or models by an insured peril, settlement shall be based on the cost to repair or replace such damaged property including the cost of labour for actually copying or transcribing and the cost of regeneration, gathering or assembling information or data for reproduction. If such valuable papers, records or models are not to be repaired or replaced, the Insurer will only be liable for their Actual Cash Value.

The above extensions, (a) to (g) inclusive, are subject to the sub-limits specified for each in the Declarations and shall not increase the Limit(s) of Liability stipulated in the Declarations.

(h) Testing Cover

This Policy is extended to include physical loss or damage caused by electrical or mechanical breakdown during "Cold Testing", "Hot Testing" and "Commissioning".

Without prior consent of the Insurer(s), such testing operations shall be limited to a period of ninety (90) days or until acceptance of the plant, whichever occurs first.

Testing operations may be carried out for the entire plant or to individual components at different times.

Coverage provided by this extension is to apply only to new or professionally reconditioned equipment. With respect to professionally reconditioned equipment it is agreed that this extension will not apply to:

- i) Loss or damage to non-metallic parts;
- ii) Loss or damage arising as a result of disassembly or re-assembly;
- iii) Loss or damage arising as a result of previous operations.

These exclusions shall not be deemed to exclude loss or damage arising as a consequence of mechanical or electrical breakdown nor to exclude mechanical or electrical breakdown caused by a peril not otherwise excluded.

TESTING DEFINITIONS:

"Cold Testing" (Functional Testing)

The checking of component parts of an insured item by mechanical, electrical, hydrostatic or other forms of testing under "dry run" conditions, which do not necessitate the firing of furnaces or any application of direct or indirect heat, the use of feedstock or other materials for processing, or in the case of electrical motors, electrical generating, transforming, converting or rectifying equipment, connection to a grid or other load circuit.

"Hot Testing" (Operational and Commissioning Tests)

The checking of the component parts of an insured item under load or operational conditions including the use of feedstock or other materials for processing or other media to simulate working conditions and in the case of electrical generating, transforming, converting or rectifying equipment, connection to a grid or other load circuit for the purpose of such checking.

“Commissioning”

The operation of an insured item or any part thereof with feedstock or other materials for processing, or in the case of electrical generating, transforming, converting or rectifying equipment, connection to a grid or other load circuit, under production condition for the purpose of attaining specification requirements and/or for training operational personnel.

(i) Ingress/Egress

Notwithstanding anything herein to the contrary, this Policy insures against the risk of physical loss of or damage to the Insured Property as covered hereunder, during the length of time, not exceeding twenty-eight (28) consecutive calendar days, when ingress to or egress from insured locations is prevented as a result of circumstances beyond the insured's control happening, to property within a 5 mile radius of the insured project.

(j) Civil Authority Damage to Premises

Notwithstanding anything herein to the contrary, this Policy insures against the risk of physical loss of or damage to the Insured Property as covered hereunder, during the length of time, not exceeding twenty-eight (28) consecutive calendar days, while access to or from the construction site is prohibited by order of Civil Authority, as a direct result of damage to property within a 5 mile radius of the insured project.

(k) Temporary Removal

This coverage includes the cost of removal from its location of Insured Property endangered by a peril for which indemnity is provided under this policy and destruction of Insured Property at the order of Civil Authority at the time of and for the purpose of preventing further damage from an insured peril.

(l) Service Interruption

Notwithstanding anything herein to the contrary, this Policy insures against direct physical loss or damage to Insured Property resulting directly from physical damage to or destruction by an insured peril of any off-premises electric power and/or gas and/or water and/or fuel and/or data communications or installations, furnishing or transmitting electric power and/or gas and/or water and/or fuel and/or data communications to the operations of the Insured.

(m) General Average and Salvage Charges

General Average and Salvage Charges and/or Special Charges if incurred, are payable in accordance with the contract of affreightment, or, if there is no contract of affreightment, payable in accordance with the laws and usages prevailing at the port of destination or at the termination of the voyage, or in accordance with Local Law and usage at the Insured's place of operations.

7. CESSATION OF COVERAGE:

Insured Property shall be deemed at the risk of the Insured during the period of the construction operations and until the said property has been formally completed, tested and accepted by the owner or until the responsibility of the Named Insured for arranging this insurance ceases, or until the expiry date shown on the Declaration Page, whichever occurs first.

8. DEFINITIONS:

(a) "Contractor"

Contractor shall mean any person, firm or corporation entering into a contract with or agreeing with or being requested by the Named Insured to provide, supply or lease work, services, materials, or equipment or any combination thereof, in connection with the project(s) shown in the Declarations;

(b) "Subcontractor"

Subcontractor shall mean

- i) any person, firm, or corporation entering into a contract with any Contractor, and
- ii) any person, firm or corporation entering into a contract derived through any such contract with a Contractor to provide, supply or lease work, services, materials or equipment, or any combination thereof, in connection with the project(s) shown in the Declarations.

"Contractor" and "Subcontractor" shall not include consulting engineers, consulting architects or suppliers who perform no work at the construction site.

(c) "Earthquake"

Earthquake shall include snow slide, landslide or other earth movements occurring concurrently with and directly resulting from earthquake shock.

Each loss caused by "Earthquake" shall constitute a single claim hereunder insofar as the limit of liability and deductible provisions of this contract are concerned, provided that more than one movement occurring within any consecutive one hundred and sixty-eight (168) hours shall be deemed to be a single earthquake within the meaning hereof. The Insurer(s) shall not be liable for any loss caused by any earthquake commencing before the effective date(s) and time of this Policy, nor for any loss caused by any earthquake commencing after the expiration date(s) and time of this Policy.

(d) "Flood"

Flood means waves, tides, tidal waves, tsunamis, and the rising of, the breaking out or the overflow of, any body of water whether natural or manmade. "Flood" does not mean loss or damage:

- (a) caused by escape of water from an elevated water tank, or by Sewer Back-Up; or
- (b) resulting from an ensuing peril not excluded elsewhere in this Policy.

With respect to the peril of "Flood", any and all losses from this cause within a consecutive seventy-two (72) hours shall be deemed to be a single loss insofar as the limit of liability and deductible provisions of this contract are concerned. The Insurer(s) shall not be liable for any loss caused by any "Flood" commencing before the effective date(s) and time of this Policy, nor for any loss caused by any "Flood" commencing after the expiration date(s) and time of this Policy.

(e) "Occurrence"

For the purposes of this Policy, an "Occurrence" shall be defined as a loss and/or series of losses which are attributable directly to one event. All such losses shall be added together, and the total amount of such losses shall be treated as one claim.

Notwithstanding the foregoing any and all losses arising out of or contributed to by the perils of atmospheric disturbance, windstorm or earthquake occurring within a one hundred and sixty-eight (168) hour period shall be deemed to be one occurrence hereunder. The Insurer(s) shall be liable for any loss caused by such peril occurring for a period of up to one hundred and sixty-eight (168) hours after the expiration of this Policy provided that the inception of the atmospheric disturbance, windstorm or earthquake occurs prior to the expiration of this Policy.

(f) "Water damage"

Water damage means all loss or damage caused by:

- i. Water, other than water from a "flood", that enters a building or structure through an opening;
- ii. Discharge or leakage of water or steam from a plumbing, heating, air conditioning or other system or appliance;
- iii. Discharge or leakage from a sprinkler system, other than discharge due to a fire, explosion or "earthquake".

(g) "Sewer Backup"

Sewer Backup means all loss or damage caused by:

Water, other than water from a "flood", that backs-up into the construction site or offsite storage area from sewers, drains, sumps, and/or pumps.

9. LIMITATION OF COVERAGE - WARRANTY AND DESIGN:

Notwithstanding any other provisions of this Policy, this Policy does not insure:

- (a) Any manufacturer or supplier of machinery, equipment or other property for the cost of making good any loss or damage which such party has agreed to make good under a guarantee or warranty, whether expressed or implied, or
- (b) Any consulting engineer, architect or designer for loss or damage which arises out of the performance of their respective professional activities, whether or not named as an Insured under this Policy.

SECTION II - SOFT COSTS

1. SOFT COSTS:

This Policy covers the actual loss sustained by the Insured for those costs or expenses related directly to the construction project, necessarily incurred for the period of time the completion date is delayed and as a direct consequence of loss or damage, insured by this Policy, to the project, including loss arising out of prevention of access to the insured premises by civil authority and additional time required to rebuild in compliance with by-laws, ordinances or regulations in force at the time of the loss.

The length of time for which the Insurer(s) are liable shall commence from the date that the property would have been operational had no direct physical loss or damage occurred and shall terminate on the date that the construction is completed or as set out in the Period of Indemnity herein, whichever first occurs.

Soft Costs insured hereunder are limited to, and defined as follows:

- (a) Financial Costs limited to Commitment Fees, Standby Fees, Letters of Credit, Land Rent and Construction Loan Fees. Construction Loan Fees are defined as the additional costs incurred to rearrange loans necessary for completion of construction.
- (b) Additional Interest Expenses are monies charged by lenders for the extension or renewal of loans necessary for completion of the Insured Project, including financing of repairs or reconstruction following an insured loss.
- (c) Leasing and Marketing Expenses are the cost of releasing and remarketing of the Insured Project due to loss of tenants and purchases because of delay in completion of the Insured Project beyond the contracted completion date.
- (d) Legal Accounting Expenses are costs to arrange refinancing, accounting work necessary to restructure financing, and legal work necessary to prepare new documents.
- (e) Miscellaneous Carrying Costs are property taxes, building permits and insurance premiums.

Definition:

Insured Project Owner within the context of this Section means solely the persons or entities who are both the owner of the Insured Project and are listed as Named Insured or Additional Insured in the Declarations of this Policy.

2. DEDUCTIBLE:

It is a condition of this insurance that no liability shall exist under this extension for any loss of Soft Costs unless the delay exceeds the Waiting Period specified in the Declarations and then liability shall exist only for such part of the loss that is determined in excess of the period specified in the Declarations.

3. PERIOD OF INDEMNITY:

Period of Indemnity shall mean the period of time between the Scheduled Date of Completion, as stated in the Declarations, and the actual date on which commercial operations commenced or could have commenced; however, not exceeding such delay as would result if the loss or damage were repaired or replaced with the exercise of due diligence and dispatch on the part of the Insured. The length of time of delay insured hereunder shall not be limited by the expiration date of this Policy.

4. ADDITIONAL EXCLUSIONS AND LIMITATIONS

- (a) The Insurer(s) shall not be liable under this coverage for any loss or expenses recoverable elsewhere in this Policy.
- (b) The Insurer(s) shall not be liable for more than the amount specified under the Limit of Liability as set out in this Section nor for any increase of loss which may be occasioned by the suspension, lapse or cancellation of any lease or license, contract or order, nor for the delay of occupancy or use due to interference by strikers or other persons with the transportation of property, the construction of the project(s) described herein, or with the rebuilding, repairing or replacing of property covered hereunder or with the occupancy and use of the premises.
- (c) If the construction contract contains a penalty clause providing for payments to the Insured for a delay caused by the perils insured against the completion of construction, any portion of such penalty inuring to the benefit of the Insured shall reduce the amount of loss which otherwise could be payable under this Section.
- (d) The Insurer(s) shall not be liable for any other consequential loss.
- (e) Due diligence: In the event of loss or damage under this Section, the Insurer(s) shall only be liable for loss during such period of time that would be required with due diligence and dispatch, on the part of the Insured, to rebuild or restore the damaged premises with like kind and quality. The Insured shall do everything reasonably possible to minimize the loss.
- (f) It is agreed the Limit of Liability, as specified herein, shall be the total limit and shall not increase the percentage of loss payable by any of the Subscribing Insurers in any one loss.

SECTION III – GENERAL CONDITIONS

1. NAMED INSURED / ADDITIONAL INSURED

The Named Insured and any interest which may exist or be hereafter acquired or constituted, over which the Named Insured may exercise control, or for which the Named Insured is responsible for arranging insurance, as respects to their interest in the property insured and only to the extent that the value is included in the contract price.

2. BREADTH OF COVERAGE

Notwithstanding any exclusion contained herein, it is agreed by the Insurer(s) that if a claim or loss would be covered in a Standard Fire Policy of insurance including extended coverage and malicious damage extensions, the said claim or loss shall be covered hereunder. Any claim or loss covered under this clause shall be subject to the deductible and limit of liability stated in the Declarations.

This provision shall not supersede the terrorism, mould or electronic data exclusions included herein.

3. DISPUTED LOSS AGREEMENT:

In the event that a recoverable loss exists, should a dispute arise between Property and Boiler and Machinery Insurer(s) as to which Insurer(s) is liable or as to the proportion of the loss to be paid by each Insurer, the Insurance Bureau of Canada "Agreement Respecting Disputed losses Between Property Insurance and Boiler and Machinery Insurance Policies" shall, at the Insured's option, apply. The said agreement shall apply whether or not an Insurer is signatory thereto.

4. AGENCY:

For the purpose of payment of premium, transactions of loss notice and loss settlements, annual review, control, arbitration and cancellation, the Named Insured shall act as agent for all Insureds.

5. LIMITS OF LIABILITY:

The Insurer(s) shall not be liable for more than the amounts shown in the Declarations of this Policy in any one occurrence. The insurance as provided under this Policy shall not be reduced by the sum paid in any one loss, and shall continue unabated for the term of insurance stated herein, except if annual aggregate limits apply.

6. ESCALATION CLAUSE

If during the Period of Insurance, the estimated completion value of the insured project increases, without material change in the scope of the work, then the Limit(s) of Liability indicated in the Declarations of this Policy, excluding the value of any property insured under this policy not included in the contract price shall be increased accordingly, but in no event to exceed 110% of the highest value reported to the Insurer(s).

7. CATCH ALL EXTENSION PROVISION

Provided coverage is afforded under any section or subsection this form and is not otherwise excluded, and provided there is no material change in the scope of work or the description of the project as shown in the Declarations, the Limit(s) if Liability indicated in the Declarations of this policy for the Project including any Sub-Limits shall be increased by the amount shown, but in no event shall the total amount of increase applicable to all limits and sublimits exceed the lesser of the following:

- i) The limit shown in the declarations for this provision
- ii) The aggregate limit for the policy including escalation as provided under General Condition 6, Escalation Clause

Further, should the operation of this provision otherwise allow the occurrence limit for any sub-limit to exceed the aggregate limit for that sub-limit as stated on the declarations, the aggregate limit shown for that sub-limit shall be the maximum amount payable for that sub-limit under this provision.

8. PROFESSIONAL FEES:

In addition to any cover provided for professional fees and other charges incurred in the settlement of loss, this Policy covers other reasonable and necessary fees and charges incurred by the Insured in preparing or substantiating any claim hereunder (except fees of any adjusters hired by the Insured) and/or the method of repair or replacement and/or for producing and certifying particulars or details of the Insured's business required by the Insurer(s) in order to arrive at the amount of loss payable in the event of claim.

Sub-Limit: This section shall be subject to a sub-limit for any one occurrence as shown in the declarations.

9. PREMIUM ADJUSTMENT:

The deposit premium for this insurance is provisional only, being calculated on the estimated completed value of the project at the rate for the estimated period of the project as shown in the Declarations of this Policy.

The final premium shall be determined after completion of the project and upon termination of this Policy and calculated on the actual completed value of the project for each Section at the rate for the period of the project as shown in the Declarations of this Policy. Within sixty (60) days after the termination or expiration of this insurance the Insured shall report to the Insurer(s) the actual completed contract price and the value of any property not included in such completed contract price and insured herein or in the absence of a contract price the Insured shall report the total completed value of the project. The actual premium shall be calculated from inception date(s) of this Policy on the total value so reported at the rate shown in this Policy. If the premium so calculated exceeds the provisional premium, the Insured shall pay to the Insurer(s) the amount of such excess.

10. BREACH OF CONDITIONS:

Where a loss occurs and there has been a breach of condition relative to a matter before the happening of a loss, which breach would otherwise disentitle the Insured to recover under this Policy, the breach shall not disentitle the Insured to recover unless the Insurer(s) establishes that the Loss was caused or contributed by the breach of condition.

Notwithstanding anything contained elsewhere in this Policy, any act, or any breach of a condition of this Policy by one of the parties hereby insured shall not prevent recovery by any other party hereby insured who is innocent of such act or breach.

In addition, any breach of conditions or warranties shall be read distributively so that in the event of a loss, breach of such condition or warranty in any portion of the property neither damaged nor destroyed, shall not disentitle the Insured to recover in respect of claim for loss or other portions of the property hereby covered that are damaged, but in which no such breach has occurred.

11. BILLS OF LADING:

It is agreed that the Insured may, without prejudice to this insurance, accept such bills of lading, receipts or contracts of carriage as are ordinarily issued by carriers, containing a limitation of the carrier's liability for damage to goods and/or merchandise.

12. SUE AND LABOUR:

In the event of threatened loss of or damage to or actual loss of or damage to property insured, it shall be lawful and necessary for the Insured, their factors, servants or assigns, to sue, labor and travel for, in and about the defense, safeguard and recovery of the property insured hereunder, or any part thereof, without prejudice to this insurance, nor shall the acts of the Insured or the Insurer(s) in recovering, saving and preserving the property insured in case of loss or damage be considered a waiver or an acceptance of abandonment. The expenses so incurred shall be borne by the Insured and the Insurer(s) proportionately to the extent of their respective interests.

Cover provided by this Clause does not increase the Insurer(s)' Limit(s) of Liability under this Policy, and deductible provisions shall apply.

13. RELEASE AND SUBROGATION:

Upon the payment of any claim under this Policy the Insurers shall be subrogated to the extent of such payment to all the rights of recovery and remedies of the Insured arising out of such claim against any person or corporation whatsoever. It is agreed that any release from liability or limitation of liability entered into by the Insured prior to a loss, shall not affect the right of the Insured to coverage as afforded by this Policy. It is further agreed that the Insurers on paying a loss, hereby waive their right of subrogation against:

any Named, Additional Named Insured or Additional Insureds, any person, corporation or organization (including their directors, officers, employees, servants or agents) owned or controlled by any Named, Additional Named Insured or Additional Insureds herein or affiliated or associated with or subsidiary to any Named, Additional Named Insured or Additional Insureds herein, by whose fault or negligence the loss or damage was caused.

The Insured will act in concert with the Insurers and all other interests concerned in the exercise of such rights of recovery.

Where the net amount recovered, after deducting the cost of recovery, is not sufficient to provide a complete indemnity for the loss or damage suffered, that amount shall be divided between the Insurer and the Insured in proportion in which the loss or damage has been borne by them respectively.

However, the Insurer(s) shall retain their subrogated rights against any architect, consultant, designer or engineer, whether named as an Insured or not, for their liability in the event of loss caused by or resulting from any error in design or any other professional error, omission, deficiency or act pertaining to the subject of this insurance.

14. PERMISSION:

The Insurer(s) hereby grant(s) permission to the Insured for:

- (a) the start-up, testing, commissioning and adjustment of the construction operations;
- (b) the premises to be occupied;
- (c) such use of the premises as is usual and incidental to the occupancy and to keep and use all such appliances, devices, articles and materials in such quantities as are usual and incidental to such occupancy;

whether by the Insured or by others prior to completion and acceptance.

15. CONFORMANCE TO STATUTES:

If the conditions of this Policy are revised by statute so as to broaden the insurance without additional premium charge, such extended or broadened insurance shall inure to the benefit of the Insured.

16. STATUTORY CONDITIONS:

This Policy is subject to the attached "Statutory Conditions". In the event of there being any conflict between the "Statutory Conditions" and the terms and conditions recited herein, the latter shall be deemed to govern if in favor of the Insured.

17. TERMINATION:

This Policy may be terminated in its entirety by the Insurer(s) by mailing by registered letter to the first Named Insured at the address stated herein, written notice stating when, not less than Ninety (90) days thereafter, such termination shall be effective. This Policy may be terminated by the first Named Insured by written notice to the Insurer(s) or their representatives. If the Insurer(s) terminate, earned premium shall be computed pro-rata but shall be subject to any minimum premium as stated in the Declarations. If the first Named Insured terminates, earned premium shall be computed in accordance with the customary short rate table and procedure. Notwithstanding the above, in the case of non-payment of premium, the Insurer(s) may terminate by providing the First Named Insured fifteen (15) days prior notice by registered mail or by hand-delivered notice.

18. PROOF OF LOSS:

The Insured shall render a signed and sworn proof of loss as promptly as possible after the occurrence of a loss stating the time, place and cause of loss, the interest of the Insured and of all others in the property, the replacement value thereof and the amount of loss or damage thereto. All adjusted claims shall be payable to the Insured within thirty (30) days after filing satisfactory proof of loss.

19. SALVAGE AND RECOVERIES:

Where the net amount recovered after deducting the costs of recovery is not sufficient to provide a complete indemnity for the loss or damage suffered, that amount shall be divided between the Insurer(s) and the Insured in the proportion in which the loss or damage has been borne by them respectively.

20. ACTION AGAINST INSURER(S):

- (a) Property of the Named Insured:

No suit, action or proceeding by the Insured against the Insurer(s) for indemnity under this Policy shall be sustainable in a court of law or equity unless the same be commenced within one (1) year after discovery by the Insured of the occurrence which gives rise to a claim.

(b) Property of Others:

No suit, action or proceeding by the Insured against the Insurer(s) for indemnity under this Policy shall be sustainable in any court of law or equity unless the same be commenced within one (1) year after the final judgment or settlement of the third party claim.

- (c) The one (1) year period referenced in (a) and (b) above are extended to two years as required by statute in the Province of Manitoba, the Northwest Territories, and Yukon Territories
(d) Saskatchewan Statutory Condition 14 is repealed. See The Limitations Act, S.S. 2004, c.L – 16.1.(b)

21. NOTICE(S):

It is agreed that any notice(s) required by the Conditions of this Policy to be given to the Insurer(s) may be given by the Insured through Aon Reed Stenhouse Inc.

22. MORTGAGE CLAUSE:

The terms and conditions of the Mortgage Clause attached to this Policy apply to all mortgagees which, from time to time, have an interest in the property insured by this Policy.

23. LOSS PAYABLE:

Payment for any loss covered by this Policy shall be according to the Declarations.

24. LAW OF THE PROVINCE:

This Policy is subject to the Law of the Province or Territory in which the policy is issued.

25. ERRORS AND OMISSIONS

The Insured hereunder is not to be prejudiced by any unintentional or inadvertent omission, error, incorrect valuation or incorrect description of the interest or risk provided notice is given to the Insurer(s) as soon as practicable on discovery of any such error or omission.

26. INTERIM PAYMENTS:

When loss or damage is admitted as a valid claim under this policy, and the exact quantum has not been definitely determined, the Named Insured upon written request shall obtain from the Insurer interim partial payments equal to the actual amounts expended. The Insurer hereby agrees to remit requested interim partial payments within thirty (30) days from the date of the request, subject to the Named Insured having filed, or having caused to be filed, an interim proof of loss.

27. BASIS OF SETTLEMENT:

All property claims shall be settled on the basis of the cost of repairing, replacing or reinstating with due diligence on the part of the Named Insured, with new materials of like kind and quality without deduction for

depreciation. The Insured will be reimbursed by the Insurer(s) for the actual cost of such replacement, including reasonable profit and overhead costs, overtime, insurance and all other charges necessarily incurred in reinstating the facilities including all insured costs of modifying, correcting or altering designs, plans and drawings.

The Insured will have the option of replacing said damaged property with technologically improved property provided that such property does not exceed the cost to repair, replace, rebuild or reinstate the damaged or destroyed property.

If goods and services of one Insured are utilized to effect repair or replacement of insured property of another Insured, the parties shall, for the purpose of adjustment, be treated as independent third parties. Those Insureds providing goods and services shall be entitled to receive their regular margin of profit.

In addition, without increasing the amount of insurance, settlement shall include the cost of demolition, including demolition of undamaged structures and clearing the site, subject to the following provisions:

- (a) If repair or replacement, construction or reconstruction is restricted or prohibited by any by-law, regulation, ordinance or law, any increased cost due thereto shall be limited to the minimum required under such law and the total amount payable shall be limited to the cost of constructing, repairing, replacing or reinstating the property insured, plus the cost of demolition, including demolition of any undamaged structures and clearing the site.
- (b) The liability of the Insurer(s) shall be limited to the Actual Cash Value of the damaged or destroyed property at the time of loss, plus that of any undamaged property which is required by law to be demolished, and the cost of demolition and clearing the site, unless and until the damaged or destroyed property is actually repaired, replaced, constructed or reconstructed, and unless this is executed with due diligence and dispatch on the part of the Insured.

28. WAR AND TERRORISM EXCLUSION:

Notwithstanding any provision to the contrary within this insurance or any endorsement thereto it is agreed that this insurance excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any of the following regardless of any other cause or event contributing concurrently or in any other sequence to the loss:

- (a) war, invasion, acts of foreign enemies, hostilities of warlike operations (whether war be declared or not), civil war, rebellion, revolution, insurrection, civil commotion assuming the proportions of or amounting to an uprising, military or usurped power: or
- (b) any act of terrorism.

"Terrorism"

An act of "terrorism" means an act, including but not limited to the use of force or violence and/or the threat thereof, of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organization(s) or government(s), committed for political, religious, ideological or similar purposes including the intention to influence any government and/or to public, or any section of the public, in fear.

This insurance also excludes loss, damage, cost or expense of whatever nature directly or indirectly caused by, resulting from or in connection with any action taken in controlling, preventing, suppressing or in any way relating to (a) and/or (b) above.

If the Underwriters allege that by reason of this exclusion, any loss, damage, cost or expense is not covered by this insurance the burden of proving the contrary shall be upon the Insured. In the event any portion of this exclusion is found to be invalid or unenforceable, the remainder shall remain in full force and effect.

29. ELECTRONIC DATA LIMITATION:

Notwithstanding any provision to the contrary within the Policy or any endorsement thereto, it is understood and agreed as follows:

- (a) The indemnity provided by this Policy excludes liability, loss, damage, destruction, distortion, erasure, corruption or alteration of "Electronic Data" from any cause whatsoever (including but not limited to "Computer Virus") or loss of use, reduction in functionality, cost, expense of whatsoever nature resulting therefrom, regardless of any other cause or event contributing concurrently or in any other sequence to the loss.

"Electronic Data" means facts, concepts and information converted to a form useable for communications, interpretation or processing by electronic and electromechanical data processing or electronically controlled equipment and includes programmes, software and other coded instructions for the processing and manipulation of data or the direction and manipulation of such equipment.

"Computer Virus" means a set of corrupting, harmful or otherwise unauthorized instructions or code including a set of maliciously introduced unauthorized instructions or code, programmatic or otherwise, that propagate themselves through a computer system or network of whatsoever nature. "Computer Virus" includes but is not limited to 'Trojan Horses', 'worms' and 'time or logic bombs'.

- (b) However, in the event that a peril listed below results from any of the matters described in paragraph (a) above, this Policy, subject to all its terms, conditions and exclusions, will cover physical damage occurring during the Policy period to property insured by this Policy directly caused by such listed peril.

Listed Perils: Fire, Explosion

- (c) "Electronic Data" Processing Media Valuation: Should electronic data processing media insured by this Policy suffer physical loss or damage insured by this Policy, then the basis of valuation shall be the cost of the blank media plus the costs of copying the "Electronic Data" from back-up or from originals of a previous generation. These costs will not include research and engineering nor any costs of recreating, gathering or assembling such "Electronic Data". If the media is not repaired, replaced or restored the basis of valuation shall be the cost of the blank media. However this Policy does not insure any amount pertaining to the value of such "Electronic Data" to the Insured or any other party, even if such "Electronic Data" cannot be recreated, gathered or assembled.

30. FUNGI EXCLUSION:

This policy does not insure any cost or expense to clean up, remove or remediate any "fungi" or any cost or expense incurred to test for, monitor or assess the existence, concentration or effect of "fungi".

"Fungi" means any form of fungus including but not limited to, yeast, mould, mildew, rust, smut, mushroom, spores, mycotoxins, odors, or any other substances, products, or by-products produced by, released by, or arising out of the current or past presence of fungi.

Fungi Coverage

Notwithstanding the Fungi Exclusion, this Policy insures any direct physical loss, direct physical damage or resulting expense consisting of, caused by, contributed to, or aggravated by "Fungi" meanings any form of fungus including but not limited to, yeast, mould, mildew, rust, smut, mushroom, spores, mycotoxins, odors, or any other substances, products, or by-products produced by, released by, or arising out of the current or past presence of fungi directly or indirectly caused by or resulting in an insured peril.

Sub-limit: The Insurers' Liability for loss under this provision arising out of one occurrence or in the annual aggregate for all such losses in any one policy year, shall not exceed the value shown in the Declarations.

No liability shall exist under this provision unless such losses or damages are reported to the companies within one hundred eighty (180) days of the date of direct physical loss or damage or the expiration of this Policy, whichever shall be earlier.

31. RADIOACTIVE CONTAMINATION AND EXPLOSIVE NUCLEAR ASSEMBLIES EXCLUSION:

This Policy does not cover:

- (a) loss or destruction of or damage to any property whatsoever or any loss or expense whatsoever resulting or arising therefrom or any consequential loss
- (b) any legal liability of whatsoever nature directly or indirectly caused by or contributed to by or arising from
 - i. ionising radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel
 - ii. the radioactive, toxic, explosive or other hazardous properties of any explosive nuclear assembly or nuclear component thereof.

32. POLLUTION AND CONTAMINATION EXCLUSION

Notwithstanding anything to the contrary contained herein, this Policy does not cover loss or destruction or damage caused by pollution or contamination except (unless otherwise excluded) destruction of or damage to the Property Insured caused by:

- (a) Pollution or contamination which itself results from fire, lightning, explosion, aircraft or other aerial devices or articles dropped therefrom, riot, civil commotion, strikers, locked-out workers, persons taking part in labour disturbances, malicious persons other than thieves, earthquake, storm, flood, bursting overflowing discharging or leaking of water tanks apparatus or pipes, sprinkler leakage or impact by any road vehicle or animal.
- (b) Any of the perils listed in (a) above which itself results from pollution or contamination.

But, this exclusion shall not apply to coverage otherwise provided under Property Section I, Subsection 6, Extensions of Coverage, part (c) Land and Water Pollution Clean-up Expense.

SECTION III – STATUTORY CONDITIONS

1. MISREPRESENTATION:

If a person applying for insurance falsely describes the property to the prejudice of the Insurer(s), or misrepresents or fraudulently omits to communicate any circumstance that is material to be made known to the Insurer(s) in order to enable it to judge the risk to be undertaken, the contract is void as to any property in relation to which the misrepresentation or omission is material.

2. PROPERTY OF OTHERS:

Unless otherwise specifically stated in the contract, the Insurer(s) is not liable for loss or damage to property owned by any person other than the Insured, unless the interest of the Insured therein is stated in the contract.

3. CHANGE OF INTEREST:

The Insurer(s) is liable for loss or damage occurring after an authorized assignment under the Bankruptcy Act or change of title by succession, by operation at law, or by death.

4. MATERIAL CHANGE:

Any change material to the risk and within the control and knowledge of the Insured avoids the contract as to the part affected thereby, unless the change is promptly notified in writing to the Insurer(s) or its local agent, and the Insurer(s) when so notified may return the unearned portion, if any, of the premium paid and cancel the contract, or may notify the Insured in writing that, if he desires the contract to continue in force, he must, within fifteen days of the receipt of the notice, pay to the Insurer(s) an additional premium, and in default of such payment the contract is no longer in force and the Insurer(s) shall return the unearned portion, if any, of the premium paid.

5. TERMINATION:

- (1) This contract may be terminated,
 - (a) by the Insurer(s) giving to the Insured fifteen (15) days' notice of termination by registered mail or five (5) days' written notice of termination personally delivered;
 - (b) by the Insured at any time on request.
- (2) Where this contract is terminated by the Insurer(s),
 - (a) the Insurer(s) shall refund the excess of premium actually paid by the Insured over the pro rata premium for the expired time, but, in no event, shall the pro rata premium for the expired time be deemed to be less than any minimum retained premium specified; and
 - (b) the refund shall accompany the notice unless the premium is subject to adjustment or determination as to amount, in which case the refund shall be made as soon as practicable.
- (3) Where this contract is terminated by the Insured, the Insurer(s) shall refund as soon as practicable the excess of the premium actually paid by the Insured over the short rate premium for the expired time, but in no event shall the short rate premium for the expired time be deemed to be less than any minimum retained premium specified.

- (4) The refund may be made by money, postal or express company money order or cheque payable at par.
- (5) The fifteen days mentioned in clause (a) of sub-condition (1) of this condition commences to run on the day following the receipt of the registered letter at the post office to which it is addressed.

6. REQUIREMENTS AFTER LOSS:

- (1) Upon the occurrence of any loss of or damage to the insured property, the Insured shall, if the loss or damage is covered by the contract, in addition to observing the requirements of conditions 9, 10 and 11,
 - (a) forthwith give notice thereof in writing to the Insurer(s);
 - (b) deliver as soon as practicable to the Insurer(s) a proof of loss verified by a statutory declaration,
 - (i) giving a complete inventory of the destroyed and damaged property and showing in detail quantities, costs, actual cash value and particulars of amount of loss claimed,
 - (ii) stating when and how the loss occurred, and if caused by fire or explosion due to ignition, how the fire or explosion originated, so far as the Insured knows or believes,
 - (iii) stating that the loss did not occur through any wilful act or neglect or the procurement, means or connivance of the Insured,
 - (iv) showing the amount of other insurances and the names of other Insurer(s),
- (2) The evidence furnished under clauses (c) and (d), of sub-paragraph (1) of this condition shall not be considered proofs of loss within the meaning of conditions 12 and 13.

7. FRAUD:

Any fraud or wilfully false statement in a statutory declaration in relation to any of the above particulars, vitiates the claim of the person making the declaration.

8. WHO MAY GIVE NOTICE AND PROOF:

Notice of loss may be given and proof of loss may be made by the agent of the Insured named in the contract in case of absence or inability of the Insured to give the notice or make the proof, and absence or inability being satisfactorily accounted for, or in the like case, or if the Insured refuses to do so, by a person to whom any part of the insurance money is payable.

9. SALVAGE:

- (1) The Insured, in the event of any loss or damage to any property insured under the contract, shall take all reasonable steps to prevent further damage to such property so damaged and to prevent damage to other property insured hereunder including, if necessary, its removal to prevent damage or further damage thereto.
- (2) The Insurer(s) shall contribute pro rata towards any reasonable and proper expenses in connection with steps taken by the Insured and required under sub-paragraph (1) of this condition according to the respective interests of the parties.

10. ENTRY, CONTROL, ABANDONMENT:

After loss or damage to insured property, the Insurer(s) has an immediate right of access and entry by accredited agents sufficient to enable them to survey and examine the property and to make an estimate of the loss or damage, and, after the Insured has secured the property, a further right of access and entry sufficient to enable them to make appraisal or particular estimate of the loss or damage but the Insurer(s) is not entitled to the control or possession of the insured property, and without the consent of the Insurer(s) there can be no abandonment to it of insured property.

11. APPRAISAL:

In the event of disagreement as to the value of the property insured, the property saved or the amount of the loss, those questions shall be determined by appraisal as provided under The Insurance Act before there can be any recovery under this contract whether the right to recover on the contract is disputed or not, and independently of all other questions. There shall be no right to an appraisal until a specific demand therefore is made in writing and until after proof of loss has been delivered.

12. WHEN LOSS PAYABLE:

The loss is payable within sixty days after completion of the proof of loss, unless the contract provides for a shorter period.

13. REPLACEMENT:

- (1) The Insurer(s), instead of making payment, may repair, rebuild, or replace the property damaged or lost, giving written notice of its intention so to do within thirty days after receipt of the proofs of loss.
- (2) In that event the Insurer(s) shall commence so to repair, rebuild or replace the property within forty-five days after receipt of the proofs of loss, and shall thereafter proceed with all due diligence to the completion thereof.

14. ACTION:

Every action or proceeding against the Insurer(s) for the recovery of any claim under or by virtue of this contract is absolutely barred unless commenced within one year next after the loss or damage occurs.

The one (1) year period referenced above is extended to two years as required by statute in the Province of Manitoba, the Northwest Territories, and Yukon Territories

---- Saskatchewan Statutory Condition 14 is repealed. See The Limitations Act, S.S. 2004, c.L – 16.1.

15. NOTICE:

Any written notice to the Insurer(s) may be delivered at, or sent by registered mail to, the chief agency or head office of the Insurer(s) in the Province. Written notice may be given to the Insured named in the contract by letter personally delivered to him or by registered mail addressed to him at their latest post office address as notified to the Insurer(s). In this condition, the expression "registered" means registered in or outside Canada.

STATUTORY CONDITIONS (Alberta)

Misrepresentation

1. If a person applying for insurance falsely describes the property to the prejudice of the insurer, or misrepresents or fraudulently omits to communicate any circumstance that is material to be made known to the insurer in order to enable it to judge the risk to be undertaken, the contract is void as to any property in relation to which the misrepresentation or omission is material.

Property of others

2. The insurer is not liable for loss or damage to property owned by a person other than the insured unless
 - (a) otherwise specifically stated in the contract, or
 - (b) the interest of the insured in that property is stated in the contract.

Change of interest

3. The insurer is liable for loss or damage occurring after an authorized assignment under the *Bankruptcy and Insolvency Act* (Canada) or a change of title by succession, by operation of law or by death.

Material change in risk

4.
 - (1) The insured must promptly give notice in writing to the insurer or its agent of a change that is
 - (a) material to the risk, and
 - (b) within the control and knowledge of the insured.
 - (2) If an insurer or its agent is not promptly notified of a change under subparagraph (1) of this condition, the contract is void as to the part affected by the change.
 - (3) If an insurer or its agent is notified of a change under subparagraph (1) of this condition, the insurer may
 - (a) terminate the contract in accordance with Statutory Condition 5,or
 - (b) notify the insured in writing that, if the insured desires the contract to continue in force, the insured must, within 15 days after receipt of the notice, pay to the insurer an additional premium specified in the notice.
 - (4) If the insured fails to pay an additional premium when required to do so under subparagraph (3) (b) of this condition, the contract is terminated at that time and Statutory Condition 5 (2) (a) applies in respect of the unearned portion of the premium.

Termination of insurance

5.
 - (1) The contract may be terminated
 - (a) by the insurer giving to the insured 15 days' notice of termination by registered mail or 5 days' written notice of termination personally delivered, or
 - (b) by the insured at any time on request.
 - (2) If the contract is terminated by the insurer,
 - (a) the insurer must refund the excess of premium actually paid by the insured over the prorated premium for the expired time, but in no event may the prorated premium for the expired time be less than any minimum retained premium specified in the contract, and
 - (b) the refund must accompany the notice unless the premium is subject to adjustment or determination as to amount, in which case the refund must be made as soon as practicable.
 - (3) If the contract is terminated by the insured, the insurer must refund as soon as practicable the excess of premium actually paid by the insured over the short rate premium for the expired time

specified in the contract, but in no event may the short rate premium for the expired time be less than any minimum retained premium specified in the contract.

- (4) The 15 day period referred to in subparagraph (1) (a) of this condition starts to run on the day the registered letter or notification of it is delivered to the insured's postal address.

Requirements after loss

6. (1) On the happening of any loss of or damage to insured property, the insured must, if the loss or damage is covered by the contract, in addition to observing the requirements of Statutory Condition
- (a) immediately give notice in writing to the insurer,
 - (b) deliver as soon as practicable to the insurer a proof of loss in respect of the loss or damage to the insured property verified by statutory declaration,
 - (i) giving a complete inventory of that property and showing in detail quantities and cost of that property and particulars of the amount of loss claimed,
 - (ii) stating when and how the loss occurred, and if caused by fire or explosion due to ignition, how the fire or explosion originated, so far as the insured knows or believes,
 - (iii) stating that the loss did not occur through any wilful act or neglect or the procurement, means or connivance of the insured,
 - (iv) stating the amount of other insurances and the names of other insurers,
 - (v) stating the interest of the insured and of all others in that property with particulars of all liens, encumbrances and other charges on that property,
 - (vi) stating any changes in title, use, occupation, location, possession or exposure of the property since the contract was issued, and
 - (vii) stating the place where the insured property was at the time of loss,
 - (c) if required by the insurer, give a complete inventory of undamaged property showing in detail quantities and cost of that property, and
 - (d) if required by the insurer and if practicable,
 - (i) produce books of account and inventory lists,
 - (ii) furnish invoices and other vouchers verified by statutory declaration, and
 - (iii) furnish a copy of the written portion of any other relevant contract.
- (2) The evidence given, produced or furnished under subparagraph (1) (c) and (d) of this condition must not be considered proofs of loss within the meaning of Statutory Conditions 12 and 13.

Fraud

7. Any fraud or wilfully false statement in a statutory declaration in relation to the particulars required under Statutory Condition 6 invalidates the claim of the person who made the declaration.

Who may give notice and proof

8. Notice of loss under Statutory Condition 6 (1) (a) may be given and the proof of loss under Statutory Condition 6 (1) (b) may be made
- (a) by the agent of the insured, if
 - (i) the insured is absent or unable to give the notice or make the proof, and
 - (ii) the absence or inability is satisfactorily accounted for, or
 - (b) by a person to whom any part of the insurance money is payable, if the insured refuses to do so or in the circumstances described in clause (a) of this condition.

Salvage

9. (1) In the event of loss or damage to insured property, the insured must take all reasonable steps to prevent further loss or damage to that property and to prevent loss or damage to other property insured under the contract, including, if necessary, removing the property to prevent loss or damage or further loss or damage to the property.
- (2) The insurer must contribute on a prorated basis towards any reasonable and proper expenses in connection with steps taken by the insured under subparagraph (1) of this condition.

Entry, control, abandonment

10. After loss or damage to insured property, the insurer has
- (a) an immediate right of access and entry by accredited representatives sufficient to enable them to survey and examine the property, and to make an estimate of the loss or damage, and
- (b) after the insured has secured the property, a further right of access and entry by accredited representatives sufficient to enable them to appraise or estimate the loss or damage, but
- (i) without the insured's consent, the insurer is not entitled to the control or possession of the insured property, and
- (ii) without the insurer's consent, there can be no abandonment to it of the insured property.

In case of disagreement

11. (1) In the event of disagreement as to the value of the insured property, the value of the property saved, the nature and extent of the repairs or replacements required or, if made, their adequacy, or the amount of the loss or damage, those questions must be determined using the applicable dispute resolution process set out in the *Insurance Act*, whether or not the insured's right to recover under the contract is disputed, and independently of all other questions.
- (2) There is no right to a dispute resolution process under this condition until
- (a) a specific demand is made for it in writing, and
- (b) the proof of loss has been delivered to the insurer.

When loss payable

12. Unless the contract provides for a shorter period, the loss is payable within 60 days after the proof of loss is completed in accordance with Statutory Condition 6 and delivered to the insurer.

Repair or replacement

13. (1) Unless a dispute resolution process has been initiated, the insurer, instead of making payment, may repair, rebuild or replace the insured property lost or damaged, on giving written notice of its intention to do so within 30 days after receiving the proof of loss.
- (2) If the insurer gives notice under subparagraph (1) of this condition, the insurer must begin to repair, rebuild or replace the property within 45 days after receiving the proof of loss, and must proceed with all due diligence to complete the work within a reasonable time.

Notice

14. (1) Written notice to the insurer may be delivered at, or sent by registered mail to, the chief agency or head office of the insurer in the province.
- (2) Written notice to the insured may be personally delivered at, or sent by registered mail addressed to, the insured's last known address as provided to the insurer by the insured.

STATUTORY CONDITIONS (British Columbia)

Misrepresentation

1. If a person applying for insurance falsely describes the property to the prejudice of the insurer, or misrepresents or fraudulently omits to communicate any circumstance that is material to be made known to the insurer in order to enable it to judge the risk to be undertaken, the contract is void as to any property in relation to which the misrepresentation or omission is material.

Property of others

2. The insurer is not liable for loss or damage to property owned by a person other than the insured unless
 - (a) otherwise specifically stated in the contract, or
 - (b) the interest of the insured in that property is stated in the contract.

Change of interest

3. The insurer is liable for loss or damage occurring after an authorized assignment under the *Bankruptcy and Insolvency Act* (Canada) or a change of title by succession, by operation of law or by death.

Material change in risk

4.
 - (1) The insured must promptly give notice in writing to the insurer or its agent of a change that is
 - (a) material to the risk, and
 - (b) within the control and knowledge of the insured.
 - (2) If an insurer or its agent is not promptly notified of a change under subparagraph (1) of this condition, the contract is void as to the part affected by the change.
 - (3) If an insurer or its agent is notified of a change under subparagraph (1) of this condition, the insurer may
 - (a) terminate the contract in accordance with Statutory Condition 5, or
 - (b) notify the insured in writing that, if the insured desires the contract to continue in force, the insured must, within 15 days after receipt of the notice, pay to the insurer an additional premium specified in the notice.
 - (4) If the insured fails to pay an additional premium when required to do so under subparagraph (3) (b) of this condition, the contract is terminated at that time and Statutory Condition 5 (2) (a) applies in respect of the unearned portion of the premium.

Termination of insurance

5.
 - (1) The contract may be terminated
 - (a) by the insurer giving to the insured 15 days' notice of termination by registered mail or 5 days' written notice of termination personally delivered, or
 - (b) by the insured at any time on request.
 - (2) If the contract is terminated by the insurer,
 - (a) the insurer must refund the excess of premium actually paid by the insured over the prorated premium for the expired time, but in no event may the prorated premium for the expired time be less than any minimum retained premium specified in the contract, and
 - (b) the refund must accompany the notice unless the premium is subject to adjustment or determination as to amount, in which case the refund must be made as soon as practicable.

- (3) If the contract is terminated by the insured, the insurer must refund as soon as practicable the excess of premium actually paid by the insured over the short rate premium for the expired time specified in the contract, but in no event may the short rate premium for the expired time be less than any minimum retained premium specified in the contract.
- (4) The 15 day period referred to in subparagraph (1) (a) of this condition starts to run on the day the registered letter or notification of it is delivered to the insured's postal address.

Requirements after loss

- 6. (1) On the happening of any loss of or damage to insured property, the insured must, if the loss or damage is covered by the contract, in addition to observing the requirements of Statutory Condition 9,
 - (a) immediately give notice in writing to the insurer,
 - (b) deliver as soon as practicable to the insurer a proof of loss in respect of the loss or damage to the insured property verified by statutory declaration,
 - (i) giving a complete inventory of that property and showing in detail quantities and cost of that property and particulars of the amount of loss claimed,
 - (ii) stating when and how the loss occurred, and if caused by fire or explosion due to ignition, how the fire or explosion originated, so far as the insured knows or believes,
 - (iii) stating that the loss did not occur through any wilful act or neglect or the procurement, means or connivance of the insured,
 - (iv) stating the amount of other insurances and the names of other insurers,
 - (v) stating the interest of the insured and of all others in that property with particulars of all liens, encumbrances and other charges on that property,
 - (vi) stating any changes in title, use, occupation, location, possession or exposure of the property since the contract was issued, and
 - (vii) stating the place where the insured property was at the time of loss,
 - (c) if required by the insurer, give a complete inventory of undamaged property showing in detail quantities and cost of that property, and
 - (d) if required by the insurer and if practicable,
 - (i) produce books of account and inventory lists,
 - (ii) furnish invoices and other vouchers verified by statutory declaration, and
 - (iii) furnish a copy of the written portion of any other relevant contract.
- (2) The evidence given, produced or furnished under subparagraph (1) (c) and (d) of this condition must not be considered proofs of loss within the meaning of Statutory Conditions 12 and 13.

Fraud

- 7. Any fraud or willfully false statement in a statutory declaration in relation to the particulars required under Statutory Condition 6 invalidates the claim of the person who made the declaration.

Who may give notice and proof

- 8. Notice of loss under Statutory Condition 6 (1) (a) may be given and the proof of loss under Statutory Condition 6 (1) (b) may be made
 - (a) by the agent of the insured, if
 - (i) the insured is absent or unable to give the notice or make the proof, and
 - (ii) the absence or inability is satisfactorily accounted for, or
 - (b) by a person to whom any part of the insurance money is payable, if the insured refuses to do so or in the circumstances described in clause (a) of this condition.

Salvage

9. (1) In the event of loss or damage to insured property, the insured must take all reasonable steps to prevent further loss or damage to that property and to prevent loss or damage to other property insured under the contract, including, if necessary, removing the property to prevent loss or damage or further loss or damage to the property.
- (2) The insurer must contribute on a prorated basis towards any reasonable and proper expenses in connection with steps taken by the insured under subparagraph (1) of this condition.

Entry, control, abandonment

10. After loss or damage to insured property, the insurer has
- (a) an immediate right of access and entry by accredited representatives sufficient to enable them to survey and examine the property, and to make an estimate of the loss or damage, and
 - (b) after the insured has secured the property, a further right of access and entry by accredited representatives sufficient to enable them to appraise or estimate the loss or damage, but
 - (i) without the insured's consent, the insurer is not entitled to the control or possession of the insured property, and
 - (ii) without the insurer's consent, there can be no abandonment to it of the insured property.

In case of disagreement

11. (1) In the event of disagreement as to the value of the insured property, the value of the property saved, the nature and extent of the repairs or replacements required or, if made, their adequacy, or the amount of the loss or damage, those questions must be determined using the applicable dispute resolution process set out in the *Insurance Act*, whether or not the insured's right to recover under the contract is disputed, and independently of all other questions.
- (2) There is no right to a dispute resolution process under this condition until
- (a) a specific demand is made for it in writing, and
 - (b) the proof of loss has been delivered to the insurer.

When loss payable

12. Unless the contract provides for a shorter period, the loss is payable within 60 days after the proof of loss is completed in accordance with Statutory Condition 6 and delivered to the insurer.

Repair or replacement

13. (1) Unless a dispute resolution process has been initiated, the insurer, instead of making payment, may repair, rebuild or replace the insured property lost or damaged, on giving written notice of its intention to do so within 30 days after receiving the proof of loss.
- (2) If the insurer gives notice under subparagraph (1) of this condition, the insurer must begin to repair, rebuild or replace the property within 45 days after receiving the proof of loss, and must proceed with all due diligence to complete the work within a reasonable time.

Notice

14. (1) Written notice to the insurer may be delivered at, or sent by registered mail to, the chief agency or head office of the insurer in the province.
- (2) Written notice to the insured may be personally delivered at, or sent by registered mail addressed to, the insured's last known address as provided to the insurer by the insured.

SECTION III – MORTGAGE CLAUSE

IT IS HEREBY PROVIDED AND AGREED THAT:

**BREACH OF
CONDITIONS by
MORTGAGOR
OWNER or
OCCUPANT**

1. This insurance and every documented renewal thereof - AS TO THE INTEREST OF THE MORTGAGEE ONLY THEREIN - is and shall be in force notwithstanding any act, neglect, omission or misrepresentation attributable to the mortgagor, owner or occupant of the property insured, including transfer of interest, any vacancy or non-occupancy, or the occupation of the property for purposes more hazardous than specified in the description of the risk;

PROVIDED ALWAYS that the Mortgagee shall notify forthwith the Insurer(s) (if known) of any vacancy or non-occupancy extending beyond thirty (30) consecutive days, or of any transfer of interest or increased hazard THAT SHALL COME TO HIS KNOWLEDGE; and that every increase of hazard (not permitted by the Policy) shall be paid for by the Mortgagee - on reasonable demand - from the date such hazard existed, according to the established scale of rates for the acceptance of such increased hazard, during the continuance of this insurance.

**RIGHT OF
SUBROGATION**

2. Whenever the Insurer(s) pays the Mortgagee any loss award under this Policy and claims that - as to the Mortgagor or Owner - no liability therefore existed, it shall be legally subrogated to all rights of the Mortgagee against the Insured; but any subrogation shall be limited to the amount of such loss payment and shall be subordinate and subject to the basic right of the Mortgagee to recover the full amount of its mortgage equity in priority to the Insurer(s); or the Insurer(s) may at its option pay the Mortgagee all amounts due or to become due under the mortgage or on the security thereof, and shall thereupon receive a full assignment and transfer of the mortgage together with all securities held as collateral to the mortgage debt.

**OTHER
INSURANCE**

3. If there be other valid and collectible insurance upon the property with loss payable to the Mortgagee - at law or in equity - then any amount payable thereunder shall be taken into account in determining the amount payable to the Mortgagee.

**WHO MAY GIVE
PROOF OF LOSS**

4. In the absence of the Insured, or the inability, refusal or neglect of the Insured to give notice of loss or deliver the required Proof of Loss under the Policy, then the Mortgagee may give the notice upon becoming aware of the loss and deliver as soon as practicable the Proof of Loss.

*** TERMINATION**

5. The term of this mortgage clause coincides with the term of the Policy;

PROVIDED ALWAYS that the Insurer reserves the right to cancel the Policy as provided by Statutory provision but agrees that the Insurer will neither terminate nor alter the Policy to the prejudice of the Mortgagee without the notice stipulated in such Statutory provision.

† TERMINATION

5. The term of this mortgage clause coincides with the term of the Policy;

PROVIDED ALWAYS that the Insurer reserves the right to cancel the Policy as provided by statutory condition 19 as set forth in section 240 of the Insurance Act of Quebec, but agrees that the Insurer will neither terminate nor alter the policy to the prejudice of the Mortgagee without 15 days' notice to the Mortgagee by registered letter.

FORECLOSURE

6. Should title or ownership to said property become vested in the Mortgagee and/or assigns as owner or purchaser under foreclosure or otherwise, this insurance shall continue until expiry or cancellation for the benefit of the said Mortgagee and/or assigns.

SUBJECT TO THE TERMS OF THIS MORTGAGE CLAUSE (and these shall supersede any Policy provisions in conflict therewith BUT ONLY AS TO THE INTEREST OF THE MORTGAGEE), loss under this Policy is made payable to the Mortgagee.

* Termination Clause applicable to All Provinces except Quebec.

† Termination Clause applicable to the Province of Quebec

SECTION V – EQUIPMENT BREAKDOWN COVERAGE

Notwithstanding anything to the contrary stated in the Policy, it is understood and agreed that this Policy, including all coverages and sub-limits provided by Sections I, II, III, and IV, is extended to include direct physical loss or damage to any electrical and mechanical “object” (as defined), caused by an “accident” (as defined), while in normal commercial operation, and which has successfully passed “Hot Testing and Commissioning operations and acceptance tests”, subject to the terms, conditions and exclusions of the Policy. Physical damage to any other property shall be excluded.

DEFINITION OF “OBJECT”

“Object” shall mean any property described below, while located on the premises of the Insured Project specified on the Declarations of this Policy;

- A. Any boiler or other metal fired pressure vessel or any metal unfired pressure vessel, or fibreglass reinforced plastic pressure vessel manufactured to ASME Code, or any refrigerating or air conditioning vessels and piping, or any other metal piping and its accessory equipment, all normally subject to vacuum or internal pressure other than static pressure of contents, and any condensate return tank;
- B. Any machine or apparatus which generates, transmits, or uses mechanical or electrical energy or power.

But “object” shall not mean or include:

- (a) any boiler setting, any refractory or insulating material, any non-metallic lining or covering, or any structure or foundation other than the bedplate of a machine;
- (b) any oven, kiln, stove, furnace, incinerator, reboiler or any heater burner;
- (c) any hose, buried piping, sewer piping, drainage piping, any piping forming a part of a sprinkler system or any water piping other than:
 - (i) feed water piping between any boiler and its feed pumps or injectors;
 - (ii) boiler condensate return piping;
 - (iii) hot water heating system piping; or
 - (iv) water piping forming a part of a refrigerating or air conditioning system used for cooling, humidifying or space heating purposes;
- (d) any part of any vehicle, aircraft, or any floating vessel or structure;
- (e) any elevator, escalator, crane, hoist, power shovel, excavator, or drag line, but not excluding any pressure vessel, mechanical or electrical equipment mounted on, or forming a part of any such machine or apparatus;
- (f) any conveyor belt;
- (g) any electronic computer or electronic data processing equipment unless used solely to control, operate or monitor any “object”;
- (h) any maintenance machine or apparatus;
- (i) any trailing electrical cable, or buried cable unless completely contained within a conduit, tunnel or duct;
- (j) any complete production machine or apparatus which processes, forms, cuts, shapes, grinds or conveys raw materials, materials in process, waste materials or finished products, and any equipment forming a part of the driving or controlling mechanism for such production machine or apparatus; but not excluding:
 - (i) any pressure or vacuum vessel described in Section A of the definition of “object”;
 - (ii) any pump, compressor, fan, blower, engine, turbine, motor or generator; nor
 - (iii) any separate enclosed gear set connected to such machine or apparatus by a coupling, clutch or belt.

DEFINITION OF "ACCIDENT"

As respects any "object" designated and described in this Endorsement, "accident" shall mean a sudden and accidental breakdown of an "object", or a part thereof, which manifests itself at the time of its occurrence by physical damage to the "object" that necessitates repair or replacement of the "object" or part thereof.

But "accident" shall not mean:

- (a) depletion, deterioration, corrosion, or erosion of material;
- (b) wear and tear;
- (c) the cracking of any part of a gas turbine exposed to the products of combustion;
- (d) leaking at any valve, fitting, shaft seal, gland packing, joint or connection;
- (e) the breakdown of any vacuum tube, gas tube or brush;
- (f) the breakdown of any electronic computer or electronic data processing equipment, unless used solely to control, operate or monitor an "object";
- (g) the breakdown of any structure or foundation supporting the "object" or any part thereof;
- (h) the sudden and accidental explosion of gas or unconsumed fuel within the furnace of the "object" or within the gas passages therefrom to the atmosphere; nor
- (i) the functioning of any safety device or protective device.

ADDITIONAL EXTENSIONS:

This Policy also insures:

- (a) Water Damage; meaning the loss, including the salvage expense, with respect to property damaged by water resulting from any one accident to refrigerating or air conditioning vessels or piping.
- (b) Ammonia Contamination; meaning the loss, including the salvage expense, with respect to damage by Ammonia contacting or permeating property under refrigeration or in process requiring refrigeration or in process of any one accident to one or more objects.
- (c) Hazardous Materials Contamination; meaning the additional expense incurred for clean-up, repair or replacement, or disposal of damaged, contaminated or polluted property as a result of an accident, which causes property to become damaged, contaminated or polluted by a substance declared hazardous to health by an authorized governmental agency.

"Additional expenses" means expenses incurred that would not have been incurred, if no substance hazardous to health had been involved in the accident.

The above extensions, (a) to (c) inclusive, are subject to the sub-limits specified for each in the Declarations and shall not increase the Limit(s) of Liability stipulated in the Declarations.

ADDITIONAL EXCLUSIONS

This coverage does not apply to loss:

- (a) from fire, unless at the time of an "accident" to an "object" which is an electrical machine or electrical apparatus fire inside the "object" ensues, the Insurer(s) shall then also pay for the additional cost of such damage inside said "object";
- (b) from the use of water or other means to extinguish fire or from sprinkler discharge;
- (c) from a combustion explosion outside the "object" concomitant with or following an "accident";
- (d) from an "accident" caused directly or indirectly by a combustion explosion outside the "object";
- (e) from flood (as defined in the Policy) or any body of water, whether natural or manmade;

- (f) from an "accident" caused by or resulting from earth movement including but not limited to earthquake, landslide, mudflow, subsidence, volcanic eruption, tidal wave, or tsunami;
- (g) from an "accident" caused by or resulting from impact by aircraft, spacecraft or land vehicle, by riot, vandalism or malicious acts, by smoke, by leakage from fire protective equipment, by wind including but not limited to cyclone, tornado or hurricane or by hail;
- (h) from an "accident" directly or indirectly caused by or resulting from lightning, if coverage for that cause of loss is provided under the Policy;
- (i) from an "accident" directly or indirectly caused by or resulting from rust, corrosion, frost and freezing; and
- (j) caused by or resulting from:
 - (i) delay or interruption of business, manufacturing or process;
 - (ii) lack of power, light, heat, steam or refrigeration; or
 - (iii) any other indirect result of an "accident";

except as specifically provided under this Policy.

INSPECTION PERMITTED

The Insurer(s) shall be permitted but not obligated to inspect, at all reasonable times, any "object" designated and described in this Endorsement. Neither the Insurer's right to make inspections nor the making thereof nor any report hereon shall constitute an undertaking, on behalf of or for the benefit of the Named Insured or others, to determine or warrant that such "object" is safe or healthful.

SUSPENSION

Upon the discovery of a dangerous condition with respect to any "object", any representative of the Insurer(s) may immediately suspend the insurance with respect to an "accident" to said "object" by written notice mailed or delivered to the Insured at the address of the Insured as cited in the Declarations, or at the location of the "object", as specified for it in the Policy. Insurance so suspended may be reinstated by the Insurer(s), but only by an Endorsement issued to form a part of the Policy and signed by a duly authorized representative of the Insurer(s). The Insured shall be allowed the unearned portion of the premium paid for such suspended insurance, pro rata, for the period of suspension.

DEDUCTIBLE AMOUNT – PROPERTY DAMAGE AND SOFT COSTS:

It is agreed that from the total amount of loss and expense of the kinds for which the Insurer(s) is liable under this Endorsement with respect to an "accident" to an "object", there shall first be deducted the specified amount shown on the declarations. However, if two or more "objects" are involved in "one accident" the total amount to be deducted shall be the largest deductible amount specified for any one of said "objects" and the insurance under this section shall not apply to any part of such amount deducted.

SECTION VI – WARRANTY FORMS

HOT WORK OPERATIONS WARRANTY (11/01/2008 Rev. 06, 2012)

IT IS HEREBY UNDERSTOOD AND AGREED that this Insurance does not apply to "Property Damage" arising out of "Hot Work Operations" if the Insured or any of the Insured's employees is in breach of any of the following conditions.

1. Combustible Material:

All portable combustible material must be removed a minimum of 20 feet away from the working area and adjoining areas.

2. Flammable Liquids or Vapours:

Drums, tanks or other containers or explosive liquids or vapours must be cleaned and cleared of flammable or explosive liquids or vapours before work is done on them.

3. Pre-Operation Precautions:

When feasible, work area should be wetted down.

4. Spark Control:

Sheet metal guards, asbestos blankets and similar protection must be provided to prevent hot metal and sparks from falling on combustible material which cannot be moved.

5. Fire Protection:

If the area in which hot work operations are being performed are presently under operative sprinkler protection, the sprinklers in that area must be operative during welding or cutting operations. Suitable fire extinguishers or hand hose must be maintained near the operations. An extra person must be provided in the welding or cutting team whose sole responsibility is to watch for sparks and promptly use the extinguishing equipment.

6. Post-Operation Precautions:

After work, a thorough check must be made for smouldering fire in out-of the-way places, and guard patrol protection must be maintained for a minimum of one hour.

"Hot Work Operations" means:

- (a) the process whereby one or more of the parts to be joined is heated near or above its melting point, and the heated surfaces are caused to flow together;
- (b) the process of applying heat to red heat the spot to be severed, gouged or pieced, and the metal is burned in a jet of oxygen;
- (c) grinding operations that generates sparks;
- (d) torch-on roofing operations;
- (e) roof tarring operations.

OPEN FLAME HEATING WARRANTY (06/21/2007)

It is warranted that during the course of construction of the Insured Project where a propane gas heater or other open flame heating device is used; the device will be positioned on fire resistive dry wall board or concrete or other non-combustible surface, tied off to a wall or floor provided, however, the heater shall not have less than three (3) feet of clear space surrounding it.

REFUSE, WASTE AND DEBRIS WARRANTY (11/01/2008)

It is hereby warranted that there shall be no refuse, waste or debris burned at the construction site. Refuse, waste and debris shall be removed regularly from the site.

FENCE WARRANTY (11/01/2008 Rev. 06, 2012)

It is hereby warranted that the site shall be fenced upon commencement of framing activities and continuing until the project is completed and no longer at risk of the insured. The fence shall have a minimum height of 6 feet and shall surround as many sides and approaches as permitted by the conditions of the site and that access is controlled. Permission is granted for removal of fencing in order to complete constructions operations that would otherwise be impaired by the fencing.

WATCHMAN WARRANTY (05/31/2018) – Version B (CCTV Option)

It is warranted that the Insured shall provide a full-time “watchman/patrol service” at the Project Site upon commencement of framing activities and continuing until the project is completed and no longer at the risk of the Insured.

For the purposes of this insurance, the definition of a watchman/patrol service shall include either:

- An employee or representative of the Insured or Hired Security Professional. This person shall be contracted to patrol the perimeter or interior of the Project Site on a regular basis, during nights and weekends, and all other times construction activities are suspended.

Or

- A permanently or temporarily installed Closed Circuit Camera Television (CCTV) system. The CCTV system may be stationary, motion activated, or heat activated, and shall be monitored remotely by an employee or representative of the Insured or a hired security professional. The CCTV system shall provide this person with adequate views of the perimeter or interior of the Project Site on a regular basis, during nights and weekends, and all other times construction activities are suspended.

**FAILURE TO COMPLY WITH THE ABOVE WARRANTIES SHALL RENDER ALL
INSURANCE UNDER THIS POLICY NULL AND VOID.**

ENDORSEMENTS:

TRADE OR ECONOMIC SANCTIONS ENDORSEMENT

This insurance does not apply to the extent that trade or economic sanctions or other laws or regulations prohibit us from providing insurance, including, but not limited to, the payment of claims. All other terms and conditions of this Policy remain unchanged.

Nothing herein contained shall be held to vary, alter, waive or change any of the terms, limits or conditions of the policy, except as herein above set forth.

COMMUNICABLE DISEASE EXCLUSION

This endorsement modifies insurance provided by this policy:

The exclusion set forth below applies to all coverages, coverage extensions, supplemental coverages, optional coverages, and endorsements that are provided by the policy to which this endorsement is attached, including, but not limited to, those that provide coverage for property or time element losses (including, but not limited to, gross earnings, gross profits, business interruption, extra expense, rental value, contingent business interruption, contingent timeelement, leader or attraction property, and interruption by civil or military authority).

The Company does not insure any loss, cost, damage or expense, directly or indirectly caused by, resulting from, arising out of, attributable to, contributed to, or occurring concurrently or in any sequence with a **communicable disease** or **communicable disease agent**.

This exclusion applies to, but is not limited to, any loss, cost, damage, or expense as a result of:

- a. any contamination by any **communicable disease** or **communicable disease agent**;
- b. any denial, restriction, or impairment of access to property because of the existence, threat, or suspected presence of any **communicable disease** or **communicable disease agent**; or
- c. any deterioration, loss of value, loss of marketability, or loss of use to tangible or intangible property insured hereunder directly or indirectly caused by or arising out of any **communicable disease** or **communicable disease agent**.

No coverage extension, additional coverage, exception to any exclusion, endorsement, or any other coverage grant shall afford coverage that would otherwise be excluded through this exclusion. Additionally, the phrase "loss, cost, damage or expense," as used herein includes, but is not limited to:

- (a) any cost to clean-up, detoxify, remove, monitor or test:
 - (1) for a **communicable disease** or **communicable disease agent**; or
 - (2) any tangible or intangible property insured hereunder that is affected or suspected to be affected by such **communicable disease** or **communicable disease agent**; and
- (b) any time element losses, including any time element coverage extensions, directly or indirectly caused by, resulting from, arising out of, attributable to, or contributed to by such **communicable disease** or **communicable disease agent**.

As used herein, words in **bold** have the following meanings:

"**Communicable disease**" means any infectious or contagious disease:

- 1. Caused by any **communicable disease agent**; and
- 2. Regardless of the method of transmission, whether direct or indirect, including, but not limited to, airborne transmission, bodily fluid transmission, transmission from or to any surface or object, solid, liquid or gas or between humans, animals, or from any animal to any human or from any human to any animal.

"**Communicable disease agent**" means any infectious or contagious agent, including, but not limited to: a virus, bacterium, parasite, or other organism, or any mutation thereof, whether deemed living or not, that causes or could cause disease, illness, or physical distress to human health.

All other terms and conditions of the policy remain the same.

TERRORISM EXCLUSION ENDORSEMENT

Notwithstanding any provision to the contrary within this insurance or any endorsement thereto it is agreed that this insurance excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any act of terrorism regardless of any other cause or event contributing concurrently or in any other sequence to the loss.

For the purpose of this endorsement an act of terrorism means an act, including but not limited to the use of force or violence and/or the threat thereof, of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organisation(s) or government(s), committed for political, religious, ideological or similar purposes including the intention to influence any government and/or to put the public, or any section of the public, in fear.

This endorsement also excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any action taken in controlling, preventing, suppressing or in any way relating to any act of terrorism.

If the Underwriters allege that by reason of this exclusion, any loss, damage, cost or expense is not covered by this insurance the burden of proving the contrary shall be upon the Assured. In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.

NMA2920

CANCELLATION OF POLICY No A2800288

If you wish to cancel this Policy, please sign the following and return this document to your broker/agent. In consideration of a RETURN PREMIUM to be calculated as provided in the policy conditions and to be paid by the Insurer(s) to the Insured, this Policy is hereby cancelled.

Date

Signature of Insured

PAYEE, if any must discharge interest by signing this form

Signature of Payee